



IAS PRELIMS 2020

TERMINOLOGY ...

FOR CRYSTAL CLEAR CLARITY

ECONOMY RELATED - III

MODULE - 6

IMPORTANT TERMINOLOGY

ECONOMY

1 INPUT TAX CREDIT

2 EMBEDDED TAXES

3 INVERTED DUTY STRUCTURE

4 IMPORT SUBSTITUTION

5 LEGACY ISSUES

6 LOW HANGING FRUITS

7 POLICY PARALYSIS

8 LOGISTICS COSTS

9 SPECIAL PURPOSE VEHICLE

10 UNICORN COMPANY



IMPORTANT TERMINOLOGY

ECONOMY

11 LIQUIDITY

12 SOLVENCY

13 INSOLVENCY

14 BANKRUPTCY

15 INSOLVENCY & BANKRUPTCY
CODE

16 LIQUIDATION

17 RESOLUTION

18 BEHAVIOURAL ECONOMICS

19 NUDGE

20 ANIMAL SPIRITS



IMPORTANT TERMINOLOGY

ECONOMY

21 BASE EFFECT

22 ASSET LIABILITY MISMATCH

23 FRUGAL INNOVATION

24 DEBT FINANCING

25 MONEY FINANCE / MONETIZING
THE FISCAL DEFICIT

26 MONETISATION

27 CRONY CAPITALISM

28 HIGHLY LEVERAGED

29 CROSS-SUBSIDIZATION

30 LIGHT TOUCH REGULATION



21

BASE EFFECT

- ◆ The base effect refers to the impact of the rise in price level (i.e. last year's inflation) in the previous year over the corresponding rise in price levels in the current year (i.e., current inflation)



SCENARIO - 1

PRICE INDEX

2017

2018

2019

100 $\xrightarrow{+15\%}$ 115 $\xrightarrow{+4\%}$ 120

SCENARIO - 2

PRICE INDEX

2017

2018

2019

100 $\xrightarrow{+5\%}$ 105 $\xrightarrow{+14\%}$ 120



22 ASSET LIABILITY MISMATCH

- ◆ It is the situation, when the deposits are of short / medium term and the loans are long term i.e., with longer repayment periods.
- ◆ It is also the situation, when the outflow of liabilities are more than the inflow of assets.

LIABILITIES

DEPOSITS



ASSETS

LOANS



23

FRUGAL INNOVATION

- ◆ It discovers new business models to serve users, who face **extreme affordability constraints**, in a scalable and sustainable manner.
- ◆ It provides **functional solutions** through few resources for the many, who have little means.
- ◆ It is the practice generally in vogue in **emerging markets**.
- ◆ It purposefully **targets the bottom** and then makes its way up to other levels to benefit all users.



24

DEBT FINANCING

- ◆ This is the normal process of Government **selling the bonds either domestically or internationally** to plug the **gap between revenue and expenditure**.
- ◆ This happens when the Government is not able to/unwilling to raise the tax revenues to balance the budgets.

UNION BUDGET 2019-20

TOTAL EXPENDITURE

Rs. 27,86,349 Crore

FISCAL DEFICIT

Rs. 7,03,760 Crore
(3.3% of GDP)

25

MONEY FINANCE / MONETIZING THE FISCAL DEFICIT

- ◆ This is reducing the public debt by printing currency.
- ◆ It puts more money in circulation
- ◆ It leads to inflationary tendencies.



UNION BUDGET 2019-20

TOTAL EXPENDITURE

Rs. 27,86,349 Crore

FISCAL DEFICIT

Rs. 7,03,760 Crore
(3.3% of GDP)



26

MONETISATION

- ◆ Conversion of an object into money, which means converting it to the generally accepted medium of exchange.



VACANT LAND



CONVERTED
TO MONEY



27

CRONY CAPITALISM

- ◆ The economic system, characterized by **close mutually advantageous relationships** between **business leaders and Government officials**.



28

HIGHLY LEVERAGED

- ◆ It means the company has comparatively high debt or we can say, it is **primarily dependent on borrowed capital** as a funding source for expanding its operations.
- ◆ The company has got **less skin in the game**.

EQUITY
Rs. 100 Cr

SCENARIO - 1

DEBT-EQUITY RATIO IS
9 & HENCE
HIGHLY LEVERAGEDDEBT
Rs. 900 CrEQUITY
Rs. 500 CrDEBT-EQUITY RATIO IS
1 & HENCE LEVERAGE
IS NOT HIGH

SCENARIO - 2

DEBT
Rs. 500 Cr

29

CROSS-SUBSIDIZATION

- ◆ It is **subsidizing one section of the consumers**, which increases the cost for other section of consumers.

CASE - 1



CASE - 2



30 LIGHT TOUCH REGULATION

- ◆ It is a situation in which something is not controlled very strictly.



WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

0866 244 44 72

98499 42299

94415 27588